

CARBON NEUTRALITY

Working together with its partners and with local communities, Mazda is aspiring to achieve carbon neutrality throughout the entire supply chain by 2050. As a milestone along our path toward this goal, we aim to reach carbon neutrality at our factories worldwide by 2035.

Mazda has formulated a road map for achieving carbon neutrality at its plants and operating sites in Japan,*1 which account for approximately 75% of the Company's global total CO₂ emissions, together with medium-term CO₂ emissions reduction targets for FY March 2031. Based on the three pillars of energy conservation, shift to renewable energy, and introduction of carbon-neutral fuels, we are pursuing the accomplishment of these goals through coordination with municipal government agencies and other industries. At the same time, we are seeking out the optimal approach toward reducing emissions at overseas factories through initiatives modeled after those implemented in Japan.

In September 2025, we updated our road map to enable us to act more flexibly in response to the trends in alternative fuel procurement and technological advancements. We thereby announced our intent to promote reductions in CO₂ emissions while ensuring reliable procurement of the energy needed to operate our business.

In accordance with this road map, Mazda switched the fuel used to supply the in-house power generation facilities at the Hiroshima Plant, Ujina District from the originally planned coal to ammonia, which will serve as its sole source of fuel. However, we now plan to transition to a gas cogeneration system fueled by city gas produced using liquefied natural gas (LNG), a proven power generation technology, to more steadily pursue decarbonization. This system will allow us to undertake a phased shift toward hydrogen fuel, which is gaining attention as a carbon-neutral form of fuel, with only small-scale equipment modifications. In this manner, we look to promote decarbonization in step with society's future adoption of carbon-neutral fuels. Going forward, we will work to determine ideal



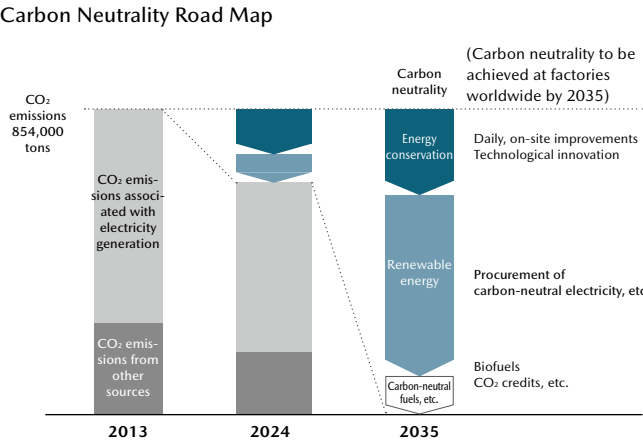
Gas cogeneration system to be introduced
(Photograph: Kawasaki Heavy Industries, Ltd., Kobe Plant Power Center No. 3)

Greenhouse Gas Emissions*1
Statistics from FY March 2025
Total Scope 1*2 and Scope 2*3 emissions (market-based*4)
649,000 t-CO₂e (down 24% from FY March 2014)

specifications for this generation system through co-creation with Kawasaki Heavy Industries, Ltd. in order to achieve high energy efficiency while allowing for optimal energy management to be practiced based on actual factory operating conditions.

In conjunction with the introduction of this system, the coal-fired thermal power generation systems currently in operation at the Hiroshima Plant and the Hofu Plant are scheduled to be decommissioned around 2030. This plan will be advanced together with the community as we enlist the support of local power producers HIROSHIMA GAS Co., Ltd. and The Chugoku Electric Power Co., Inc.

Moreover, the update to the road map entailed reassessing our interim CO₂ emissions reduction target for FY March 2031 and resulted in our announcing a new target of a reduction of 46% or more in comparison to FY March 2014, in line with the Japanese national target. This target replaces the prior target of a 69% reduction from the same year. The new target will guide Mazda's steadfast efforts toward achieving carbon neutrality.



*1 Sites including Mazda's Head Office and Hiroshima Plant (Aki-gun and Hiroshima City in Hiroshima Prefecture), Hofu Plant (Hofu City, Yamaguchi Prefecture), and Miyoshi Plant (Miyoshi City, Hiroshima Prefecture)
*2 Direct emissions from consumption of fuels and from industrial processes
*3 Emissions associated with consumption of purchased heat and electricity (indirect emissions from energy consumption)
*4 Calculated using emissions factors provided in the Ministry of the Environment's greenhouse gas accounting and reporting system

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THREE PILLARS OF CARBON NEUTRALITY INITIATIVES AT PLANTS AND OPERATING SITES IN JAPAN

1. Energy Conservation

Mazda is working to achieve Companywide improvements in operational productivity and efficiency while reforming the operating practices for production and infrastructure equipment, heightening efficiency, and promoting technological innovation to conserve energy. These initiatives are shared with business partners so that we can pursue energy conservation together.

- Initiatives**
- Adoption of low-CO₂-emissions production technologies and advancement of wide-reaching energy conservation initiatives (Aqua-Tech Paint System, etc.)
 - Supply of technologies for cleaning specific portions of heat exchange equipment to business partners
 - Introduction of internal carbon pricing system (9,100 yen per t-CO₂)

2. Shift to Renewable Energy

Mazda plans to transition to a gas cogeneration system fueled by city gas produced using LNG for the in-house power generation facilities used at the Hiroshima Plant to facilitate a steady approach toward decarbonization. This system will enable a phased shift toward hydrogen fuel requiring only small-scale equipment renovations and thereby allow us to pursue decarbonization in conjunction with society's future adoption of carbon-neutral fuels. In addition, the Company intends to decommission the coal-fired thermal power generation systems it is currently using by around 2030. At the same time, we are examining the possibility of expanding solar power use and adopting storage battery systems as we gradually decarbonize together with our partners and with the community.

- Initiatives**
- Introduction of gas cogeneration systems for supporting shift to carbon-neutral fuels
 - Procurement of LNG and other low-emissions fuels as well as carbon-neutral fuels
 - Expansion of solar power use
 - Conclusion of off-site solar power corporate power purchase agreements
- For more information, please refer to the following MAZDA MIRAI BASE article.
Building a Regional Ecosystem Through Renewable Energy: Mazda's Offsite Corporate PPA Initiative - The Road to Carbon Neutrality Episode 4
<https://www.mazda.com/en/mazda-mirai-base/articles/20250515-lca-corporateppa/>
- Expansion of carbon-neutral electricity supply and demand in the Chugoku region
 - Verification test involving Sweep Energy Storage System utilizing automotive batteries

3. Introduction of Carbon-Neutral Fuels

Mazda is coordinating with constituents of its entire supply chain to replace fossil fuels with carbon-neutral fuels in vehicle production processes that cannot be performed using only electricity. In cases when we must use power sources that are not easily replaced with carbon-neutral fuels, we will make use of J-Credits to promote forest preservation and reforestation in order to absorb CO₂ with the communities we serve.

- Initiatives**
- Verification testing of cupola melting furnace using 100% bio-mass fuel
 - Participation in Research Association of Biomass Innovation for Next-Generation Automobile Fuels
 - Underwriting of convertible bonds issued by Euglena Co., Ltd.
 - Research on microalgae
 - Expansion of carbon-neutral electricity supply and demand in the Chugoku region
 - Utilization of J-Credits

Climate Change (Endeavoring Toward Carbon Neutrality by 2050)
<https://www.mazda.com/en/sustainability/environment/climate-change/>